

Circular Economy & SME Readiness

Circular economy principles enable SMEs to use resources more efficiently, reduce waste and risks, and improve long-term competitiveness by transitioning from linear to more sustainable business practices.

Linear Model

Resources are extracted, used and discarded after a single use cycle.

This model leads to waste generation, resource inefficiency and increasing operational costs over time.

Take → Make → Dispose

Circular Model

Resources are kept in use for longer through reuse, repair and recovery.

This approach minimises waste and maximises the value of materials and products.

Reduce → Reuse → Repair → Recycle

SME Readiness Levels

Businesses adopt circular practices at different stages:

Reactive → limited awareness, basic compliance

Strategic → planned improvements and efficiency actions

Mature → circular thinking integrated into business strategy

Progression happens over time through learning and adaptation.

Barriers & Enablers

Common challenges SMEs face:

Limited financial resources · Lack of technical knowledge or skills · Uncertainty about benefits and implementation

Key enablers include awareness, simple tools and gradual improvements.

Circular economy strategies can reduce material costs by up to 20% in some sectors.

Business Benefits

Adopting circular practices can support:

- Lower operational costs
- Improved resource efficiency
- Reduced risks and waste
- Stronger competitiveness and resilience